Exit and Trailing Study

What the current trailing rule costs, what the alternatives are worth, and what exit rule to put on every strategy this desk deploys from here.

SAMPLE	75 trades · 15 sessions · 21 Sep – 13 Oct 2026	STRATEGIES	breakout@4 (51) · breakdown@2 (24)
RISK UNIT	1R = ₹550	NET	₹15,097 = 27.45R

READ THIS FIRST The trade records do not contain price paths. A checkpoint crossing proves the premium *touched* that level, so a trade's peak is known to within 1R — but only for the 27 trades that ratcheted. The other 48 peaked somewhere below 2R and the record cannot say where. Nothing shows the path *before* the peak.

Every number for a tighter rule below is therefore an **optimistic bound**: it assumes no intermediate dip would have clipped the tighter stop early. Section 6 is about that.

1 How the book behaves today

The system is positive and strongly asymmetric. It is wrong about twice as often as it is right, and makes money because the wins are nearly three times the size of the losses.

MEASURE	VALUE	NOTE
Expectancy per trade	+0.37R (₹201)	Over 75 trades
Win rate	36%	27 winners, 46 losers, 2 scratch
Average win	₹1,550	
Average loss	−₹582	The 1R stop is holding since the book gate
Reached 2R	27 of 75 (36%)	
Of those, reached 4R+	11 of 27 (41%)	Continuation is high once a trade is working
Peak captured	64.5%	Across the 27 that ratcheted

Both strategies behave the same way

This matters for the recommendation: one exit rule can serve both, and probably the next one too.

STRATEGY	TRADES	NET ₹	EXPECTANCY	REACHED 2R	WIN RATE
breakout (long)	51	+9,626	0.34R	17 (33%)	37%
breakdown (short)	24	+5,471	0.41R	10 (42%)	33%

Holding time is the strongest pattern in the data

Longer holds do markedly better. That rules out theta decay as a problem worth exiting for — the opposite is true. Trades that die quickly are bad entries the stop is correctly killing; trades that survive the first few minutes are the ones that pay.

HELD FOR	TRADES	NET ₹	AVG R	WINNERS
under 5 min	30	−6,106	−0.37	5 / 30

HELD FOR	TRADES	NET ₹	AVG R	WINNERS
5 – 15 min	12	+824	+0.12	3 / 12
15 – 45 min	17	+6,775	+0.72	9 / 17
45 min – 2 h	9	+8,013	+1.62	6 / 9
over 2 h	7	+5,592	+1.45	4 / 7

Median time from entry to 2R is 7 minutes; to the peak, 18 minutes; from peak to exit, 7 minutes.

Nearly all the profit is in a handful of trades

GROUP	PROFIT ₹	SHARE OF NET
Largest single trade (INDHOTEL, peak 13R)	**7,250**	**48%**
Top 3 trades	14,056	93%
Top 5 trades	18,736	124%
Top 10 trades	28,877	191%

Everything past the top five is net negative. This single fact governs the whole exit question: any rule that trades away the right tail to tidy up the middle will destroy the edge.

2 Two defects in the current rule

These are faults in the *shape* of the rule, not conclusions drawn from a handful of trades. They would be worth fixing even if they had not yet cost anything.

Defect 1 — nothing is protected at 2R

The stop does not move until 1:3. A trade can therefore earn ₹1,100, give all of it back, and close at −₹550: a 3R round trip with nothing banked. Five trades peaked at exactly 2R in this sample and four of them did exactly that.

Defect 2 — the 3R rung gives back two units

Reaching 1:3 moves the stop to +₹550, leaving a ₹1,100 gap between the peak and the stop. Everywhere above 1:4 the gap is ₹550. The 3R rung is the one place the rule is twice as loose as itself, and it is the most crowded rung on the ladder — eleven trades peaked there.

PEAK	TRADES	NET ₹	AVG REALISED	STOP SITS AT
below 2R	48	−23,219	−0.88R	−1R, never moved
2R	**5**	**−1,636**	**−0.60R**	**−1R — nothing locked**
3R	**11**	**+9,354**	**+1.55R**	**+1R — a 2R give-back**
4R	4	+7,611	+3.46R	+3R
5R	3	+6,509	+3.94R	+4R
6R – 13R	4	+16,478	+7.49R	one rung behind

3 What the alternatives are worth

Each rule is priced at its own stop level so the comparison is rule against rule. The modelled figure for the current rule (25.60R) differs from what was actually realised (27.45R) because real fills carry slippage in both directions; compare the modelled column to itself, not to the traded result.

RULE	MODELLED NET	₹	VS CURRENT
Current — nothing at 2R, +1R at 3R, then one rung behind	25.60R	14,078	—
Breakeven at 2R, then one rung behind	**37.60R**	**20,678**	**+12.00R / ₹6,600**
One rung behind from 2R (2R→+1R, 3R→+2R, …)	41.60R	22,878	+16.00R / ₹8,800
Two rungs behind from 3R (looser)	14.60R	8,027	−11.00R / −₹6,050

Loosening is clearly wrong. Tightening at the two defective rungs is clearly right. The only real question is how far to tighten at 2R.

Where the gain comes from

Taking "breakeven at 2R, then one rung behind" — twelve trades change, and nothing above 3R moves at all.

RUNG	TRADES	GAIN	WHAT CHANGES
2R	4	+4.00R / ₹2,200	Full losses become scratches
3R	8	+8.00R / ₹4,400	Exit at +2R instead of +1R
4R and above	11	no change	Stop is identical under both rules
Total	**12**	**+12.00R / ₹6,600**	

4 Do not use a fixed target

Every fixed take-profit tested is worse than trailing, including the ones that look generous. Capping at 1:3 would have turned the 13R trade into a 3R trade and given up ₹5,600 on that position alone.

EXIT RULE	NET R	NET ₹	WINNERS CAPPED
Take profit at 2R	11.78	6,481	27
Take profit at 3R	20.81	11,445	22
Take profit at 4R	15.82	8,699	11
Take profit at 5R	20.65	11,360	7
Take profit at 6R	21.49	11,819	4
Trailing, as actually traded	**27.45**	**15,098**	**—**

5 The risk none of this can measure

A tighter stop can only be judged properly against the path a trade took *before* its peak, and no record holds that. If a trade dipped a full rung and then recovered, a tighter stop would have taken it out at the dip and the later run would never have happened. Every figure in section 3 assumes that never occurred.

The exposure is concentrated. The largest trade made ₹7,250. Had a tighter stop clipped that one position at +₹550, the book would be ₹6,700 worse — more than the entire ₹6,600 the change is projected to gain. One trade, and the whole case reverses.

WHY THIS PICKS THE CONSERVATIVE OPTION At a 2R peak, a stop at breakeven sits 2R below the high; a stop at +1R sits only 1R below it. Breakeven gives a working trade twice as much room to breathe before it is taken out. It captures ₹6,600 of the ₹8,800 on offer and takes materially less of the risk that cannot be measured.

6 Recommendation

Initial stop	Unchanged at −1R (₹550). It is working: the average loss is ₹582 against a ₹550 plan.
At 2R	Move the stop to **breakeven**. Removes the 3R round trip entirely.
At 3R and above	Stop follows **one rung behind** the highest rung reached.
Target	**None.** The trade is closed by its trailing stop or by the 15:15 flatten.

PEAK REACHED	STOP TODAY	STOP PROPOSED	LOCKED IN
+₹1,100 (1:2)	−₹550	₹0	nothing, but nothing lost
+₹1,650 (1:3)	+₹550	+₹1,100	₹1,100
+₹2,200 (1:4)	+₹1,650	+₹1,650	₹1,650
+₹2,750 (1:5)	+₹2,200	+₹2,200	₹2,200

One parameter changes and one special case disappears: the trail starts at 1:2 instead of 1:3, and the “lock only 1R at 1:3” exception is removed so the ladder is uniform all the way up.

7 A general exit framework for future strategies

Stated in R, so it carries to any strategy whatever its entry logic, instrument or risk budget.

1. **Risk a fixed R, and define the stop before the entry.** Everything downstream is arithmetic on R, which makes strategies comparable.
2. **Protect capital at 2R, not before and not much later.** Earlier invites the whipsaw; later leaves the 3R round trip on the table.
3. **Then trail one R behind the running peak.** Uniform, with no special rungs. A rule with an exception at one level will have its worst outcomes at that level.
4. **Never cap the upside.** With 36% accuracy the edge lives entirely in the right tail; a fixed target removes the only trades that pay for the rest.
5. **Let time run.** Longer holds performed better here. Do not add a time-based exit before the flatten without evidence.
6. **Re-derive the numbers once there is MAE/MFE data**, rather than carrying 2R forward as doctrine. The method below is what makes that possible.

8 What to record so this is properly answerable

The weakness of this study is missing data, not missing analysis. Three cheap additions would turn the next version of it into a real backtest.

Running MFE and MAE	The highest and lowest premium seen while a position is open, updated on the existing 2-second poll. This alone answers every question above exactly, for all trades rather than the 36% that ratcheted.
Instrument token	Record it on the trade. Twenty-eight trades here are permanently unanalysable because their September contracts expired and the tokens are gone from the instrument dump.
Trail on the running peak	The engine only moves the stop when a rung is crossed, so between 3R and 4R the stop sits still while the peak keeps rising. Trailing a fixed distance behind the running maximum is what "trailing" normally means and removes the dependence on rung granularity.

9 Further reading

MAE / MFE	John Sweeney, *Maximum Adverse Excursion: Analyzing Price Fluctuations for Trading Management* (Wiley, 1996). The original treatment of setting stops from the distribution of how far trades go against you before they work. Directly relevant: the standard method is to plot MAE across all trades and find the level only losers reach. `nexusfi.com/wiki/trading-wiki/Maximum-Adverse-Excursion · luxalgo.com/library/concept/mae-mfe-distributions.md`
Volatility trailing	Chuck LeBeau's Chandelier Exit — trail a fixed number of ATRs below the highest high since entry, ratcheting so the stop never loosens. The idea worth borrowing is scaling the trail to volatility rather than to a fixed R, so a quiet stock is not given the same room as a violent one. `barchart.com/education/technical-indicators/chandelier-exit · luxalgo.com/library/concept/chandelier-stop.md`
Worth testing next	Trailing on the *underlying* rather than the option premium. The premium moves with delta, theta and vega at once, so a premium stop fires on volatility collapse even when the directional call was right. A stop on the stock, converted to a premium level, isolates the thing the strategy is actually predicting.

Paper fills. This desk places no orders. All figures are simulated entries at the ask and exits at the bid, priced off live quotes at the moment each rule fired.

Sample: 75 trades, 15 sessions, 21 September – 13 October 2026, both strategies, gated versions only (breakout@4, breakdown@2).